

Amazon.com, Inc.
AMZN NASDAQ

Buy \$256.26 ▼ 1.54% 12M Price Target \$305.00 52-Week Range \$196.00 – \$287.20

Market Cap
\$2.76T

AMZN: AWS AI Tailwinds Meet Data Center Policy Headwinds

WHAT HAPPENED

- AMZN dropped 1.5% today on heavy volume (35.7M shares — well above the recent avg of ~25M), which tells me this wasn't a sleepy drift lower — someone was actively selling. The Tech sector was UP 3.16% today, so Amazon underperforming its own sector by ~4.5% is the real story here. When a mega-cap lags its sector by that much on high volume, it usually means something company-specific is bothering people.
- The IBD headline about state-level AI data center moratoriums is the likely catalyst — several states are debating pauses on new data center construction over power grid and water usage concerns, and AWS is THE largest data center operator in the US.

WHY IT MATTERS

Here's what I'm inferring: the market is starting to price in a real regulatory speed bump for the AI infrastructure buildout. State-level data center moratoriums (Virginia, Georgia, and Texas are all debating them) directly threaten AWS's expansion runway — and AWS is the profit engine that justifies AMZN's whole valuation. Meanwhile, the insider selling cluster (Zapolsky's \$2.4M sale, plus Bezos' pre-arranged dispositions) isn't screaming panic, but nobody's buying either, which tells you insiders don't see the stock as a screaming bargain here. The unusual put activity at \$272.50 (someone spent \$10.6M on downside protection) suggests institutions are hedging into a potential September pullback — but the offsetting call buying at \$237-245 tells me smart money views any dip as buyable, not the start of a rout.

POLICY & POLITICAL WATCH

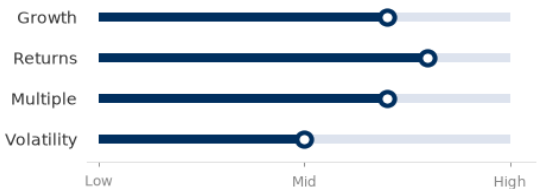
The big one right now: state-level AI data center moratoriums — at least six states have bills in play that would pause new data center permits for 12-24 months, citing power grid strain. If Virginia (home to "Data Center Alley" and roughly 25% of US data center capacity) passes theirs, that's a direct hit to AWS's expansion timeline. On the federal side, the FTC's antitrust case against Amazon is still grinding through the courts — a ruling could come in the next 6-12 months, and the worst-case scenario is a forced separation of AWS from retail (which, ironically, some analysts think would UNLOCK value). Also watch tariff policy: the administration's tariff framework hits Amazon's third-party sellers hard, which is 60%+ of retail units sold on the platform.

IS IT EXPENSIVE?

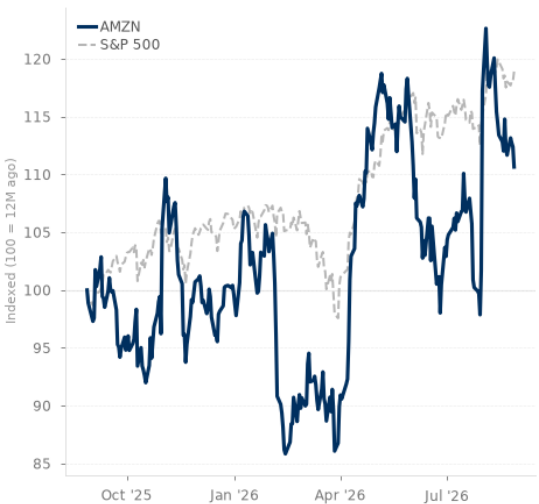
Key Data

Price (USD)	\$256.26
12M Price Target	\$305.00
Upside / (Downside)	+19.0%
Market Cap	\$2.76T
FY2026E Revenue	\$738M
FY2027E Revenue	\$820M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	37.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$275.00	\$262.00	\$245.00
6 Months	\$300.00	\$280.00	\$235.00
1 Year	\$340.00	\$305.00	\$220.00
2 Years	\$400.00	\$350.00	\$210.00
5 Years	\$600.00	\$475.00	\$250.00
10 Years	\$900.00	\$700.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Broad Technology (+3.16% today) — this is AI infrastructure enthusiasm, and the Marvell/AWS partnership headline suggests hyperscaler AI spending is accelerating, not slowing.

COOLING OFF: Energy, Utilities, Industrials — classic "risk-on tech" day where defensives get sold. Utilities weakness is interesting given data centers are their biggest new customers.

ROTATION WATCH: Money rotated INTO tech today but AMZN specifically got skipped — that's a yellow flag. Capital went to Nvidia, semis, and pure-play AI names rather than the mega-cap diversified plays. Suggests the market wants more concentrated AI exposure right now.

RELATED PLAY: If you like the AWS/AI thesis but want higher beta, Marvell (MRVL) is explicitly benefiting from AWS custom silicon spend. Data center REITs (DLR, EQIX) are the picks-and-shovels play if moratoriums pass — existing capacity becomes more valuable.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the primary beneficiary of every AI capex dollar — AWS spending is bullish for them regardless of moratoriums.
- MRVL (Marvell): Riding the custom silicon wave for AWS, Microsoft, and Google — direct AMZN spend beneficiary.

AMZN CONTEXT: AMZN is LAGGING its mega-cap peer group today, and that's the tell. When tech rallies 3% and Amazon is red, the market is saying "we like AI infrastructure but we're worried about Amazon-specific issues." Watch if this pattern continues for 3-5 more sessions — that would confirm a real narrative shift and I'd want to see \$245 hold as support.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$245-255 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: AWS growth decelerates below 15% or FTC breakup ruling forces AWS spin-off at unfavorable terms

Hedging: Buy Sept \$245 puts or pair with short position in a pricier hyperscaler competitor